Alphabet Inc.

GOOGL NASDAQ

Buy	$322.28 ▼ 0.60%	12M Price Target $385.00	52-Week Range $255.32 – $408.61	Market Cap $3.94T

GOOGL: Healthy Pullback Before Earnings, Antitrust Still Overhang

WHAT HAPPENED

- GOOGL has bled about 6% in 4 days ($344 → $322) on heavy volume — that's distribution (big holders quietly trimming), not panic. The pullback lines up with the broader tech sector going flat for the week and investors de-risking ahead of Q3 earnings (expected next week). Nothing company-specific broke.
- Today's volume is way lighter (~9M vs 27M yesterday) — selling pressure is exhausting itself. That's often what a short-term bottom looks like before earnings.

WHY IT MATTERS

Here's the thing — options traders are leaning HARD bullish (put/call ratio of 0.43 means more than 2x as many bets on the stock going up vs. down), and there's unusual call buying right at $325 and $337.50 strikes expiring this month. Translation: somebody with money thinks this dip gets bought and the stock pops post-earnings. The 44% of 52-week range reading tells you GOOGL has given back most of its summer rally, which actually resets expectations lower heading into the print — easier bar to clear. If Cloud revenue grows 30%+ and they reiterate AI capex discipline, this snaps back to $350+ quickly; if they guide capex higher without matching revenue, the stock gets punished like Meta did last cycle.

POLICY & POLITICAL WATCH

The big overhang is still the DOJ antitrust remedy — the judge ruled against forcing a Chrome divestiture back in September, but Google still has to share search data with competitors, and appeals are ongoing. That's actually a BEST-case outcome vs. what bears feared. On the tailwind side, the Trump administration's AI Action Plan (executive orders from earlier this year) is pushing federal agencies to accelerate AI procurement, and Google Cloud's new government-focused Gemini deployments are directly in that funnel. Watch the FY2027 budget negotiations in Congress — defense and intelligence AI spending is a real bid under GOOG Cloud revenue.

IS IT EXPENSIVE?

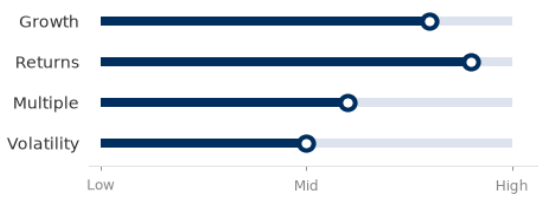
At ~$322, you're paying roughly 31x next year's earnings — meaning $31 for every $1 of expected profit. That's a premium to the S&P (~22x) but a discount to Microsoft (~34x) and Meta (~27x on a growth-adjusted basis). Given Google is growing earnings ~20%+ with the best AI research org on the planet and $100B+ in annual free cash flow, that multiple is reasonable — not a steal, not a bubble.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$322.28**
12M Price Target	**$385.00**
Upside / (Downside)	**+19.5%**
Market Cap	**$3.94T**
FY2026E Revenue	**$420M**
FY2027E Revenue	**$475M**
FY2026E EPS	**$10.20**
FY2027E EPS	**$12.10**
Fwd P/E	**31.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

GOOGL — Alphabet Inc. | October 23, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$350.00**	$330.00	**$300.00**
6 Months	**$400.00**	$365.00	**$290.00**
1 Year	**$450.00**	$385.00	**$270.00**
2 Years	**$525.00**	$440.00	**$250.00**
5 Years	**$750.00**	$580.00	**$220.00**
10 Years	**$1200.00**	$850.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.66%) — oil's bid on Middle East tension and the administration's drill-baby-drill posture is lifting the whole complex. Tech is slightly green but mixed under the surface.

COOLING OFF: Healthcare (-1.04%) and Utilities (-0.94%) — defensives getting dumped, which usually means risk-on is still intact despite the GOOGL weakness.

ROTATION WATCH: Money is rotating out of mega-cap tech into energy and cyclicals ahead of earnings season — classic de-risking. That's a headwind for GOOGL short-term but creates the entry point.

RELATED PLAY: If Google Cloud guides strong, the data center infrastructure names (VRT, ETN, and the power utilities serving hyperscalers) rally the next day — second-order AI capex trade.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Holding up better than GOOGL into earnings — Azure momentum and OpenAI partnership keeping bulls engaged
- META (Meta Platforms): Ad spending resilience and Reels monetization have it leading the ad-tech cohort

GOOGL CONTEXT: GOOGL is lagging its mega-cap peers this week, which is actually setup-friendly — expectations are now lower than MSFT/META heading into prints, so a decent beat gets outsized reward. The 6% drawdown has already done the de-risking work.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — the business is firing on all cylinders and the pullback is giving you a better entry; only reason it's not a 9 is earnings event risk next week.

POSITION SIZE: 4-6% of portfolio — core holding, but leave room to add if it dips to $300 on an earnings wobble.

ENTRY POINTS: $315-325 is the add zone right now; if we get a flush to $295-305 post-earnings on a capex scare, that's the back-up-the-truck level.

TIME HORIZON: 12-24 months — catalysts are Cloud re-acceleration, federal AI contract wins, and antitrust appeal resolution.

WHEN TO BAIL: If Cloud growth slips below 20%, or if any court forces an actual business divestiture (not just data sharing) — those break the thesis.

HEDGING: If you're nervous about earnings, buy a cheap put a few weeks out as insurance — costs you ~1% of your position but caps the downside if the print disappoints.

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